How the Iranian Economy Actually Works

Podcast: Odd lots

AI Executive Summary

Core Thesis The episode explores the transformation of the Iranian economy from an ideological revolutionary movement into a fragmented, "mafia-like" state characterized by extreme factionalism and corruption. The central argument is that Iran’s economic structure is no longer governed by a singular totalitarian authority but by competing, decentralized entities—such as the Revolutionary Guard (IRGC) and religious foundations (*Bonyads*)—that distribute resources based on political loyalty rather than market efficiency. This systemic chaos and the regime's prioritization of ideological survival over economic prosperity create a uniquely unstable environment that prevents true liberalization or global integration.

Key Arguments & Data * **The "Mafia State" Model:** Unlike traditional totalitarian states where citizens are equal under the law, Iran has evolved into a layered society where wealth, access to resources (electricity, housing, trade), and even foreign policy decisions are allocated based on loyalty to the state’s security apparatus. * **Economic Fragmentation & Chaos:** The Iranian economy is defined by "competing gods" or factions. This fragmentation makes business stability nearly impossible; while a single authoritarian regime (like China) offers predictable—if restrictive—rules, Iran's landscape involves multiple "underbosses" (IRGC, Clerical foundations, etc.) who may move to sabotage any entity that does not pay for their specific protection or share of profits. * **The Illusion of Privatization:** While there have been waves of privatization in Iran, the authors argue these were actually "re-privatizations." State-owned assets (factories, mines, shipping) were sold at low prices to individuals and entities closely linked to the security forces, effectively moving control from the formal state to a "shadow state." * **The Tech Sector Boom and Bust:** Sanctions inadvertently created a "protected ecosystem" for local innovation by blocking giants like Amazon and Uber. This allowed for the rise of successful domestic players like *Digikala* (e-commerce) and *Snapp* (ride-sharing). However, once these companies reached a certain valuation threshold, the security state utilized coercion—often demanding a percentage of shares—to absorb them into the state-linked network. * **High**

Pain Thresholds: The Islamic Republic demonstrates a unique ability to endure economic hardship compared to Western nations. While the US administration focuses on inflation and interest rates, the Iranian regime prioritizes ideological self-sufficiency and military expansion, even when faced with near triple-digit inflation and high unemployment. * **The Shift Toward China:** As Western economic "carrots" (such as the 2015 Nuclear Deal) failed to induce political liberalization, Iran's economic future is increasingly pivoting toward China for much-needed investment and infrastructure.

Actionable Takeaways * For Global Investors & Analysts: When evaluating emerging markets with authoritarian leanings, distinguish between "centralized" regimes (predictable, rule-based corruption) and "mafia" states (unpredictable, factionalized chaos). The latter presents much higher risks of sudden expropriation and regulatory volatility due to shifting internal power struggles. * **For Policy Makers:** Recognize that traditional economic statecraft—using trade incentives and sanctions relief to encourage democratic reform—may be ineffective in Iran. Because the regime's primary metric for success is ideological survival rather than GDP growth, economic prosperity does not necessarily translate into political liberalization. * **For Strategic Intelligence:** Monitor the "shadow state" (the *Bonyads* and IRGC-linked entities) rather than just official government ministries. In a mafia economy, the true movers of capital, trade permits, and industrial control reside in these non-transparent, unaccountable religious and military foundations.

Full Transcript

The Big Take podcast from Bloomberg News keeps you on top of the biggest stories of the day. My fellow Americans, this is Liberation Day. Stories that move markets. Chair Powell opened the door to this first interest rate cut. Impact politics, change businesses. This is a really stunning development for the AI world and how you think about your bottom line. Listen to the Big Take from Bloomberg News every weekday afternoon. on the iHeart Radio app, Apple Podcasts, or wherever you get your podcasts. Bloomberg Audio Studios. Podcasts. Radio. News. Hello and welcome to another episode of the Odd Lots podcast. I'm Joe Weisenthal. And I'm Tracy Allaway. Tracy, it's now July 28th, and the Iran War continues to go on. And it's sort of extraordinary, the fact that, you know, in the beginning, here was this thing that was going to be, if it persisted, sort of cataclysmic perhaps for the global economy and particularly with related to oil prices. And yet on a sort of day to day basis, it's not even necessarily the biggest headline news that most people are talking about. People get used to a lot of things very quickly. I mean, it still has the potential to be catastrophic at some point in time. But you're absolutely right. We've gone months now since when did this start in March, right? Yeah. Before the beginning of March. Yeah. Months now with a war, which technically hasn't even been.

declared a war. It's an operation, is that what they're calling it? I believe so. Military operation. I think it's been a long, people talk about, you know, the forever war. Yeah. I think the last, it's been a long time since America actually ever acknowledged that he was in a capital W war. Very true. But it does kind of beg the question about what happens when all of this is over, right? Yeah, right. I mean... Hopefully it ends one day and I have to say so obviously we talk about oil a lot when we talk in terms of economics I have to admit, you know, it's funny. We've done multiple episodes about the Iranian stock market, which is a fascinating topic. But other than the fact that obviously Iran produces a lot of oil, I actually like basically know nothing about the economy. Like the day to day, what a typical middle class family. There's some things I know. So there's oil. Yes. There's Iranian cars, famously, which I would be interested in experiencing one day. Not

necessarily buying, but experiencing pistachios. I was going to say. So like pistachios, like nuts, I imagine. But like what this sort of job market is, what a day to day.

what's out there and whatever the Iranian equivalent of LinkedIn or Indeed.com is, what people do, what people want career-wise, all of these things. Because there's an Iranian stock market, obviously, presumably there are startups and companies that one day want to list, but I don't know what any of them do. I have so many questions. I guess about what a quote normal, Iranian it's imagine the war ends in also there aren't sanctions, right? What would an Iranian? Well, this is my point because at various points in time previously you have had these bursts of optimism about the opening up of the Iranian economy the lifting of sanctions It's one other thing I know again not much but one thing I know is it's a huge economy, right? With our previous Iranian stock market guest the size of Turkey, right? It's a really big economy. It's a big economy And so what happens if that starts to open up?

Can it open up? Are we going to see what happened previously where it kind of starts to open up and then it shuts down again? I don't know. Is several months ago like there was like some random night where I was clicking on random Wikipedia links. And I was like, I wonder what Ahmed Nizad's economic policy platform was when he ran for president for the first time. I like started clicking on his campaign. I was like, I wonder. And it was like, seemed kind of vague. And he had some, I wish I could remember the slogan. It was really good. It was something like, if we imagined it, we could do it. It was like, you know, the most inoffensive sort of like domestic policy agenda slogan. And I couldn't really find that.

more specifics, but you know, you have elections, etc. What do they run on? What do they, you know, where do they stand on taxes? All these questions about sort of like, quote, normal, unquote, economic life in Iran. Is that your way of saying that you want to talk about the political economy of Iran? I want to talk about the political economy and the even regular economy of Iran. Anyway, I'm very excited to say we do in fact have two perfect guests on. who will teach us much more about this. We're going to be speaking with Yegana Torbadi, Iran correspondent for The New York Times, as well

as Buzorgameh Sharifadin. He's the head of digital at Iran International. So, both of you, thank you so much for coming on Odd Lives. Thank you so much for having me. Thanks for having us. Oh, and I should, of course, have mentioned that they are the co-authors of a brand new book, Stolen Revolution, Betrayal and Hope in Modern Iran. So again, thank you both so much for coming out. Why don't we just start? What is the premise of this book? Why was this an important...

book to write or would endeavor you to go on this project yeah well thank you so much for having us i mean we started on this project around five and a half years ago so late 2020 and i think our vision was at first we were very focused on kind of trying to explain as you sort of mentioned iran's political economy and in particular sort of the roots of corruption and sort of state control and influence over the economy over the past 40 you know 50 years And then of course as time went on and since 2020 a lot of things have happened in Iran and our focus both broadened and I think deepened but sort of throughout our book is sort of this continuous thread of the promises that the current government, the Islamic government came to power on in 1979, particularly around social justice and how it might redistribute Iran's really immense resources and sort of what that has actually led to in practice today, which is far from those promises. Yeah, so you describe the Islamic Republic as evolving into this sort of mafia-like state. And I guess there's a difference between an authoritarian government and a corrupt one, although they often go hand in hand. How did Iran kind of evolve from the authoritarian Islamic Republic to a place that in terms of its economy was actually extracting value from its people? Yeah, I think maybe it's good to define what do we mean by a mafia state? What's the difference between a mafia state and a normal totalitarian government?

I think in a normal society, all citizens are equal and they benefit the same from the government and the wealth of the nation. But in a mafia state, you should imagine a layered society. And citizens are rewarded based on their loyalty to the system. So the more loyal you are to the government and the state, the more you will benefit. from resources so that's how the islamic republic was from the beginning and it's excluded its critics and it rewarded people who were loyal and it was an ideological government so people who believed in the values of the islamic republic were rewarded. But as we

move forward we see that this trend was reflected more and more in the economy you see that how.

evolutionary guards and other religious foundations, they come and take over a big chunks of the economy. And I can say that this mafia state and the layered society is even reflected in Iran's foreign policy. So in the eyes of Iranian states, maybe a Hezbollah member in Lebanon or a Houthi militia in Yemen, they are more loyal to the Islamic Republic than let's say a professor at Tehran University. So they should benefit more from the wealth of the nation. So that's why we have had all these discussions within the Islamic Republic that while the Iranian government can't afford to provide free milk at schools, it has the money to give to its proxies in the region to kind of reward their loyalty. Right. Maybe I should back up even further at this point and ask the Iranian Revolution, How much of that was about economic grievances on the part of the people, the idea that as so many revolutions are, things need to get better versus just the clergy basically seizing power? I think it was sort of a mix of a few different things.

The working classes and sort of the lower socioeconomic classes did not really jump in to be part of the revolutionary coalition until quite late in the game when they really started to suffer from some of the Shah's economic policies kind of towards the very end. Really at the beginning it was more kind of like the middle classes and the intellectuals who were sort of forming this kind of revolutionary coalition from a bunch of different impulses. There were some who wanted kind of an Islamic government. There were others who who were communists and were kind of more anti-U.S., anti-imperialist. And there were others who just wanted kind of a secular liberal democracy and felt that the Shah was trampling on people's rights. All of those people kind of joined in. But what we see, especially kind of towards the end of the revolution as we're getting to 1979, is that the leader of the revolution, Ruhal Khomeini, who then became the leader of the new government, He wanted to kind of co-op some of the most effective sort of leftist arguments because he wanted kind of their young people, their supporters to sort of also support him. And so, you know, these arguments of kind of the bourgeoisie versus the proletariat, you know, Khomeini kind of adopted some of those terms with an Islamic tinge and therefore sort of

he promised, and then in the first few months, especially the revolution, he also promised that, you know, we are going to provide for the poor, we're going to provide free electricity, free buses for the poor, we're going to build housing and I think the government sort of wanted to present itself as being on behalf of some of those the kind of lower classes of society and presented them kind of as its base. As time goes on what we see especially kind of in the last 10 to 15 years it sort of turned its back on a lot of those promises to where it's not even really even pretending anymore that that is kind of what it's aimed at. And we can kind of talk about through some of the turning points there. But it really was kind of a gradual shift over time. And then, especially since 2017, you really see this growing dissatisfaction amongst not just middle class Iranians, but also people who are poor and struggling against what this revolution has brought to them. Okay, everyone's ability to derive wealth or income or is somehow linked to where they stand in this hierarchy of supporting the government or supporting the state in some way or another. Let's talk about where the government gets its resources to make these allocations, whether it's housing, whether it's electricity, whether it's obviously munitions for various groups, etc. Obviously we know oil is a big part of it but what are the main how would you big picture decompose what the Iranian economy sort of basically looks like? So I think of course yeah oil is a big one it has kind of this huge resource that's very valuable and that it can kind of use to fund itself. But also Iran has a pretty diversified economy in terms of its industrial base. And that is partially as a result of kind of the Shah's own policies, but then also sort of this idea that took root after the revolution that we need to provide for ourselves. We need to be self-sufficient. This was a very important kind of part of both the ideology of kind of present in that moment in general, this sort of like 20th century, 60s, 70s backlash against interference by world powers in the internal affairs of Iran and of other countries. So there was kind of this very strong idea, especially among Iranian leftists and including in some of the clerical class that we need to kind of establish our own industries and be independent. So Iran has a car industry, Iran has steel plants that were built after the Iran-Iraq war and it became operational sort of after the Iran-Iraq war that produce huge amounts of steel, kind of leading the Middle East in that industry. And these industries are maybe not necessarily the most efficient, and they don't have a ton of foreign investment, but they provide employment. Iran has a huge

agricultural sector, which is an enormous source of jobs in Iran, which has been very important as it's been under sanction.

Of course, the agricultural sector has a lot of other costs, including overuse of water, which Iran has been facing. But it's an important, at least, source of jobs in the economy. So these are all these major industries that kind of first start out after the revolution, being very much under the purview of the formal states, kind of what we in the West would recognize as a government, including a ministry that is answerable to parliament, that oversees, for instance, the steel industry or the mines in Iran. Over time, and we should kind of talk about this more, the control over those industries moves away from sort of the recognized parts of the state into kind of this shadow state, you know, which is sort of much more linked to the security forces and to these entities that are kind of controlled by the clerics, but aren't really accountable to the rest of the government. If I add a bit to that, because if you look at the history of the Islamic Republic, of course, the revolution started with this massive wave of nationalization, the state to control of the major industries, shipping.

mining banking and many more but gradually as we come forward after. Decade or two they really stay decided the privatization of these major industries but I think the main problem was the corruption but we didn't see real privatization so usually. People who were close to centers of power they came and took over these industries and they like they took them over with a very low price like imagine factories that were owned by the government. They were taken over by elements very close to the security forces and so after that many of these factories they didn't come back to production the machinery. was sold and the land was turned into maybe a residential place to build apartments in. So we saw that level. But still, as you're going to mention, we have private sector in Iran. The problem with private sector is that if a business becomes successful and it passes a certain threshold, you will see the security forces coming and knocking on your door and they want their share. And that's again, it's like in Mafia State, which you can imagine if you have a restaurant in, I don't know, in Mafia movies, if you have a successful restaurant, they would come and they want their share from these businesses. And as we showed in the book, one of the major new sectors was the startup sector. Of course, this sector was started

by many Iranians who came back from abroad to launch this sector, but they saw that how the security forces came and forced them to give up these firms. The Big Take podcast from Bloomberg News keeps you on top of the biggest stories of the day. My fellow Americans, this is Liberation Day.

stories that move markets. Chair Powell opened the door to this first interest rate cut. Impact politics, change businesses. This is a really stunning development for the AI world and how you think about your bottom line. Listen to the big take from Bloomberg News every weekday afternoon on the iHeart Radio app, Apple podcasts, or wherever you get your podcasts. Just in terms of the state becoming more intertwined with the private sector, I learned two new words or I guess terms from your book. And I'm going to mispronounce the first one because I've only ever read it. I've never said it aloud. But Bonyads? Is that right? Bonyads. Yeah. Bonyads. Okay. Bonyads. And then invisible ports. Can you talk a little bit more about those two things as sort of examples of how the state becomes intertwined with the private sector or the general economy? Okay. So.

Again, these religious foundations, they were launched at the beginning of the revolution, and they're very interesting. One of them was this massive foundation that was established to distribute the wealth among the poor, and it seemed quite a noble cause. And of course, we had other foundations to look off the families of martyrs of Iran-Iraq war and the veterans of the war. So these massive foundations, they were established by the founder of the revolution Ayatollah Khomeini. And the heads of those foundations, they had massive power. So we show in the book, for example, that how the head of one of these foundations He wanted to import some wheelchairs to into the country to give it to the veterans of war, but at that time the minister of Industries he was against the import because he believed that the imports of German wheelchairs will be undermining the domestic production, but the head of foundation He was an MP at that time, member of the parliament, so he went to the parliament and passed the bill to allow the foundation to import anything they want without any government supervision. And he wanted to do that to maintain the revolutionary nature of the foundation and he didn't want to be constrained by bureaucracy and red tape. It's interesting that the same person, decades later, he becomes the speaker of the parliament during the reform movement. And he found these

invisible ports or invisible jetties. How is that? So we see that these foundations and the revolutionary guards, they had massive power to import anything they wanted without audit and without taxation. And this character of the book, decades later, he goes to southern ports of Iran and he saw a dedicated port that belonged to the Revolutionary Guards, and they could import anything they wanted without any supervision of the government. So in a way, you see how this mafia state was formed gradually, how the revolutionary nature of the foundation forced them into creating a system which was not transparent from the start, and later on the same system turned into a mafia state. And you sort of see how There is some good intentions, right? Like the idea of importing higher quality wheelchairs from abroad to help veterans of the war who had been injured. You know, that that is a laudable intention, but you know, this character, this person that we're talking about, Matthew Cowderby, he sort of in that decision in the 1980s, establishes this idea that these foundations, and it wasn't just him, but this was just one example, these foundations are above the law and they get special dispensations and special privileges because they're kind of associated with the revolutionary state. Private companies don't get those rights, entities that are disconnected from the government don't get those rights, but he establishes that in that same thinking, you know, as it continues and is not challenged over the years sort of grows into eventually these invisible ports and many other abuses. It's so striking, like, listening to this because you, I mean, on the one hand, obviously, Iran, very distinct story. But on the other hand, you know, so many of these themes we've already discussed, you see, like, echoes of them or versions of them in all sorts of developing states or whatever, you know, obviously, when you talk about Oh, here's a steel factory, some industrial facility, and then it's been reproposed in some way for some non-vital thing. You sort of think about late-era Soviet Union, for example. It's like, here's the company that wants to make bread, but they just sell all their parts abroad for hard cash and then don't actually serve their purpose. Were there ever any forces in government that tried to keep some of these entities?

in line. I assume there must be like some conflict or effort to sort of maintain this thing where you have something that resembles industry has some perverse incentives to maybe like take some shortcut for the personal gain of whoever is the controlling entity. Were there ever attempts to build

in mechanisms such that these perhaps public resources couldn't be expropriated in some way? For sure. I mean, there were definitely people who maybe too late sort of saw the errors of some of the ways that the government had acted, including people who had been part of the problem, you know, in earlier and on in their career. So like, for example, Mehdi Kadruby, who we mentioned, who was a cleric, an MP, he led one of these buonyads. But then later on becomes part of the reform movement and rises to great power and tries when he's in parliament to established some standards of transparency for these entities, these bonyads and other institutions that answered directly to Iran's supreme leader. And he's unsuccessful. By that point, which was the late 90s, early 2000s, these entities and the supreme leader himself were just far too powerful for the elected government to really put a check on. There's another anecdote that we talk about at length in the book, which was in 2004 when Iran was opening a new airport. And this is a big moment for Iran. They had been planning this airport actually before the revolution. Of course, it was delayed because of that and because of the war. But this was going to be kind of this big moment when Iran was going to have an airport to kind of rival Dubai and Istanbul.

On the day that it's being opened, the Revolutionary Guards drive armored land cruisers onto the runway and prevent the first plane from landing. They have to be begged by the transport minister before they allow it to land. When the second plane wants to come in, they scramble a fighter jet and threaten it, and it has to divert south to Esfahan. And why did this happen? The transport minister later revealed in a series of interviews because the guards had wanted the contract to operate that airport, but they hadn't provided the best price. And so the government had given it to a Turkish Austrian firm. the airport was shut down, it was basically a no fly zone for months, and it was reopened with state firms running the airport rather than this foreign contract. And so, you know, our character, Mehdi Khabibi, he's a Speaker of Parliament, his MPs write a report about what happened, but ultimately there's no accountability for that action. And as we go on in time, There's, we get to a point where the guards don't even really have to take such a dramatic step. Their dominance in contracting and in, you know, different parts of Iran's economy sort of goes unquestioned. And I think the element of Iran's government that is somewhat unique, at least in its

specifics from, you know, a place like the Soviet Union or other places is that because all of these institutions answer to someone who's sort of seen as a holy figure and who's power comes from God effectively. It's much more difficult to question both his authority and to establish any accountability over institutions that only report to him, which is how Iran's government is structured. Both the military and these big bonyans only report to him. And how can you question someone who's effectively God's representative? I mean, the extraction from the private sector, how much of that is about consolidating political power. And how much of it is about being worried about, I guess, foreign threats that might come in through additional capital in the country? Can you kind of decompose or try to maybe psychoanalyze the motivations for, for instance, the Iranian guards wanting to stop a new airport from operating?

I think the way I see it is the competition of different factions within the same system. It's not that one faction wants to have all the money and the other faction is promoting transparency and is fighting corruption. Usually you see with a change of government, you see that how the new government tries to empower people and elements close to that. And we explained that in the book and how, for example, Ahmadinejad, when he came to power, he tried to empower people close to him. But when next presidents, when they come, including Hassan Rouhani, we see that he also tried to somehow make sure that people close to him can benefit from such resources. So I think there is this infighting.

that you see that sometimes the revolutionary guards, they need to use their military and intelligence power. And sometimes the other faction can take control. But overall, I think there are many elements that have added to this competition. Of course, the sanctions are one of those like decades of sanctions. They have created this lack of transparency within the state. And each faction, they come and they try to take a part of the business trying to show that themselves essential for the everyday affairs of the country to be handled. For example, before that, even an oil ministry has been in charge of selling ores. That's been the case for decades. But when the sanctions increased in recent decades and the government couldn't pay its debts, to let's say Iran's police and their military forces, it gave them access to oil. So a big part of Iranian oil export has been done by the revolutionary guards at

this stage. Some estimate that half of the Iranian oil is sold by the revolutionary guards. So I think the way I see it is just these different factions that are constantly fighting with one another, trying to have a bigger share of the economy.

Tracy, I think your question, like there's one anecdote that sort of exactly answers it. So I think it's both. I think they came by their suspicion of foreign intervention in Iran's economy. Honestly, I mean, if you look at the 20th century history of Iran, it is one of economic exploitation of the country by world powers, US, the British, the Russians, etc. And also they have used that ideology in a way that has benefited themselves. So the one anecdote that kind of gets at this is in 2020, 2021, when COVID is hitting Iran is one of the worst affected countries by COVID. The Supreme Leader decides to bar the import of many Western doses of the COVID vaccine. And kind of almost simultaneously, the Iranian government decides to launch on a project to make its own COVID vaccine. But what's the entity that's given that contract? It's the conglomerate controlled by the Supreme Leader Ali Khamenei. So he's both deciding a policy that, and I think, you know, if we, he's no longer with us, but if we had given him truth serum, I think he actually was suspicious of the motivations of the US and the British in, you know, making these COVID vaccines. I think, you know, that was probably genuine. But also with that decision, he creates a shortage.

And then his conglomerate that would profit from a government contract like this is able to step in and kind of save the day and also make these these vaccine doses. So you kind of see in that one example both the ideology and the self-interest kind of really melding seamlessly in a way that it's just it's just kind of remarkable to me. So so I think both of the answers stands, but I also think that it's sort of both of those those factors that you identified acting at once. Yeah, and Joe, I should just say the one other thing I know about Iran's economy is that it has been the subject of interest to put it mildly to many foreign governments over time. And of course, famously BP, you know this, right? BP has its origins as the Iranian Anglo-Iranian oil company. So.

Here's one question I have just again from a sort of pure economic developmentalist question. Many of the things that you describe, they would call like import substitution in developing economies, etc. It's like, okay, like we don't want to import too much of X because then our sort of nascent company can't compete, etc. And in many cases there could be logic. Have there ever been a figure in modern Iranian history who sort of like the sort of the export oriented development. Let's build an industry that can compete. That's what we always talk about with the, you know, the East Asian countries. Let's build an industry set aside oil that competes and that we want to thrive, etc. And the export market will be the test of whether this is a successful company or not. Has anyone like tried this sort of popular idea? I think the closest that comes to my mind was Hashemir Afsanjani.

President Hashemi Rafsanjani, who was saying that he wants to turn Iran into an Islamic Japan. So he was very fascinated by metro system in Western societies and he wanted to create the same system. But at the end, I think he failed to do that. What do you think they're going to? Yeah, I mean, I think, you know, I don't know that I would. if anyone should cite me on this but I think you know what I'm kind of looking at sort of how Iranian companies compete I mean given the fact that the way the the way the direction the direction the economy has gone in is favoring these entities these companies that are linked to powerful people in the state and that's sort of poisonous to competition and so the idea that even within Iran's domestic economy, the truly most talented and meritorious companies are not the ones that rise to the top or are the most successful or get the most market share. It's the ones that are smart enough or able enough to sell enough of their shares to some powerful entity that at least they're then protected from being perhaps raided or shut down or maybe they get some sort of special dispensation from the government. And then the idea that those companies that are themselves, maybe not the best are then going to compete externally with like the Siemens of the world or GE just seems a bit, even if we set aside sanctions being a huge barrier, which they are, it seems a bit unrealistic to me that Iran would succeed in that kind of market. Although, you know, Iranian steel has, you know, they, they, they get, they used to get a lot of foreign revenue, foreign currency from exporting steel to various countries. So they are, there is a market for some Iranian goods, but it's, you know, I don't know that they would kind of be at the top of any sort

of world list. The Big Take podcast from Bloomberg News keeps you on top of the biggest stories of the day. My fellow Americans, this is Liberation Day.

Stories that move markets. Chair Powell opened the door to this first interest rate cut. Impact politics, change businesses. This is a really stunning development for the AI world and how you think about your bottom line. Listen to the big take from Bloomberg News every weekday afternoon on the iHeart Radio app, Apple podcasts, or wherever you get your podcasts. Can we talk about the tech sector specifically? Because again, this was surprising to learn that at one point Iran had a vibrant startup scene, but on the other hand it kind of makes sense if you think about a place where Because of sanctions you don't have a lot of Amazon or Ubers around then maybe that's the perfect, you know, I also just associate Iran with having a lot of young educated people. Yeah, absolutely So what did Iran's tech startup scene actually look like?

Yeah, I mean, this is a fascinating chapter and one that we really dug into. So Iran was the second country in the Middle East after Israel to get access to the internet. So it's a very kind of like tech forward pioneering country in that way. And towards the end, the early 2010s, more and more young people are starting to get online. The Rouhani government, kind of this more moderate government coming in, they enabled access to 3G and 4G internet. So there's suddenly this access to mobile data and the ability to kind of have apps and stream video and all those sort of things. So it really took off. And Iranian users wanted content. They wanted apps. And as you mentioned, sanctions meant that even with a nuclear deal, because the nuclear deal, if you remember, did not allow American companies to go into Iran.

the leading tech companies in the world, Amazon, Uber, Lyft, they could not operate. So there's this sort of protected ecosystem of 80 million at that time, 85 million or so population that needed apps and Iranian businesses could suddenly launch and serve those people. And so that's really what happened. So you kind of start to see the first inklings of this sort of tech industry forming in the early 2010s. You get some very early foreign investment even before the nuclear deal happening and some Iranian expats

moving back and sort of seeing what's happening and starting venture capital funds. And this really then takes off after the nuclear deal is signed in 2015 and goes into effect in early 2016. And foreign investors are just really intrigued by this idea that we finally have like the last sort of green field opportunity is in Iran. And maybe it could be the next Russia, maybe it could be the next China, and we could really get in early on this. And so that we know we kind of trace what happens after that. You know, it's great if you go to the.

website of the University of Tehran, where I am right now. It's all the cliches of every university. They have a picture of a bunch of happy grads. They have the required photo of a multi-racial classroom, whichever university has on their website, all these people learning. But let's talk a little bit more about, okay, you mentioned the Ubers and Lyfts, et cetera. What else were people trying to build? far did this ecosystem push, and then you mentioned, okay, eventually a company gets to a point, it reads some threshold in which it is no longer really able to operate as a private entity that pursues shareholder value as its mission. What's the second, after all this excitement, where does it go?

Yeah, so I mean, I will say a lot of the startups were kind of familiar. There were sort of like versions of things that we'd be familiar with in the West. So there's the Amazon of Iran called Digicolor. There's the Uber of Iran called Snap. There's food delivery apps. There's all sorts of things. There's also things that are kind of more unique. But those the most successful companies, the ones like kind of right out the gate are the ones that are sort of taking business models that have been tried and true in the rest of the world and localizing them for Iran. So, you know, they start to really grow and this kind of takes everyone by surprise, including the government. I think, you know, from interviews I've done, it seemed like the government really sort of thought this stuff was sort of whatever, you know, like, okay, I think they didn't quite realize how quickly this field would grow. And our character that we kind of follow in the book starts his own venture capital fund first with domestic funding and then brings in a lot of external funding as well from Europe and Russian investors.

This sort of, I think, takes a lot of the conservative kind of established forces by surprise. And what we very quickly see is a backlash. And first, it kind of takes the form of sort of hidden kind of whispers. There's like a mysterious telegram channel that forms that starts making accusations against some of the startup founders and sort of people around that sector. The startups are very much associated. In some cases they did not mean to be, but in some cases they did form an alliance. They're associated with the elected government of Hassan Rouhani. And there were already these factions developing that were very against Rouhani, particularly in the Revolutionary Guards, and saw him and his diplomats as being too conciliatory towards the US.

This backlash from the security state is kind of forming, people are being interrogated, they're being, you know, sometimes arrested, even their offices are being raided. And at the same time, what we document is that people kind of middlemen with a foot in the security state and a foot in the private sector, people who have been, you know, Ministry of Defense officials or who had served on the boards of some of these buonyads, et cetera, they start to make an offer to some of the startups. And basically the offer is, give us like five percent of your shares and we will help protect you from these accusations and from the risks that you're facing. And some of the startup founders take that deal, you know, we really try to get into their mindset and we interviewed over 70 people for this section of the book.

And I think some of them didn't understand really what was happening. They felt beleaguered and they felt quite at risk. And they wanted to save their companies. They wanted to do what they felt like was good work, employing people, providing middle-class jobs. And so some of them took that deal. And we see, for instance, the Uber over on Snap sold a large portion of its shares to one of the bougnards. There's another kind of rideshare company that launches with a revolutionary guard financing. And then ultimately, just a couple of years ago, we sort of trace the specifics of this and how much the company tried to resist. But ultimately, the Amazon of Iran, Digicolor, did sell 40% of its shares to a telecom that is part owned by one of these buñans as well. So we really kind of see this exciting, vibrant, thriving industry that was not deeply connected to the government over time.

then kind of is subdued by those government forces. By the way, Tracy, I just found this very interesting article from 2020 that company Snap. In order to get on to the, there's a story from Rest of World, they got on the Apple App Store by... disguising the app as a music streaming app, and then only upon a user logging in with an Iranian IP address, would its full capabilities as a ride-hailing app emerge. And then I guess Apple has since banned that. But some clever ingenuity there. Yeah, very smart. So one thing I'm wondering is, at the time of this tech boom, such as it was, there were some Iranian officials that seemed to be supportive of it. I can't remember his exact name but there was someone in the ministry who was like actually actively promoting tech at the same time that you had other actors in the government who are starting like disinformation campaigns to smear these companies and making you know not so subtle threats and things like that. Again I'm fascinated by the coordination problem or lack of coordination here because it really seems like people are like Off doing different things and if you're a business owner, how are you supposed to respond to all these competing interests? Yeah, it's not a question. I guess it's a statement. Um, I can add a little business. I think that that is the huge challenge that make like Iran's not just for instance, a corrupt state or just an authoritarian state, it's also sort of chaotic. And I think that is what is poisonous to business almost more than any other part of it. You know, I'm not a China expert, but my sense is that, you know, when it comes to China, if you have an understanding with the Communist Party, then you're good to go. In Iran, even if you do end up making a deal with, you know, some boony odds, selling your shares, whatever it might be, It's a mafia structure, but there's also all these underbosses, and they all kind of compete with each other, and their power sways from day to day. So yes, one entity within the government was really supporting these startups and wanted them to succeed, and his administration was sort of hated by...

the more powerful security forces. So for the startup guys, a lot of them were coming, you know, they were expats, they were kind of coming back to Iran. They were bewildered by this. And as you both know, I mean, business requires certainty. And that has been, I think, more detrimental, the uncertainty in Iran, the instability of the actual government structure and figuring out what it wants from day to day. That's been more poisonous almost than the actual fact of like, okay, I got to make a deal with like such

and such entity and, you know, be able to continue my work safely. You know, the closest comparison that comes to my mind is like Greek mythology. I'm reading Odysseus, and I realized that Zeus doesn't have the absolute power. So Iran's supreme leader didn't have the absolute power. He needs to manage between all different gods and goddesses. And in the case of Odysseus, you see that he is supported by some God to go back home, but some angry gods are trying to block his return to back home. So yeah, I think it.

a businessman in Iran is just like it's a real odyssey. I love this analogy because it's like, what was the breakthrough of monotheism? Was it part to solve this problem of different people petitioning different gods, et cetera? So you want to like establish, you know, there's like one set of rules. So I think that's it. But also that sort of actually brings me to another question, which came up a little bit earlier. But you know, when we talk about... about some of these things, we can draw these analogies. There may be comparisons to late Soviet Union. There may be comparisons to the oligarchs extracting the resources after the collapse of the Soviet Union. There may be analogies to a country like Venezuela, which of course people have also likened to a mafia state. There are analogies to China with the difference between the CCP and the government itself. The thing that feels a little distinct here is the role of religion which you meant and the idea that there's maybe this other higher thing that people are told to strive towards.

Can you talk a little bit more about teasing out the effect that that spiritual element plays in some of this, which I could imagine, A, creates yet another difficult dimension for businesses to operate in. But then also, especially when I think of the tech sector, tech fries people's brains. And if I wanted to have a more spiritual society, I don't know how much I want the public to look at their phones all day. Yeah, I think that's a good point. I think that's been one of the core problems when Western societies have been trying to tackle the Islamic Republic. Look, Obama tried to have a nuclear deal with Iran, and Trump is trying to do that. I think one of the reasons that the U.S. and many Western countries try to do that was their deep belief in market, free market economy and capitalism. I think the underlying assumption was that given a choice between isolations and sanctions and prosperity of course every country will choose the latter. Like in a way they believe that

by integrating the Iranian economy into the world they will create some political liberalization and some form of democratization. But I think I mean, Trump also believes that if you look at Trump's speeches in 2025, he says, oh, I want to make Iran a great nation. I see a bright future for the country. But you see surprisingly that Iran doesn't take that offer. The Islamic Republic, I think that's when this ideological component comes in. That is somehow difficult to explain for the Western societies that you see.

that the country is much focused on the ideological aspects of it. And even after the nuclear deal that Obama managed to sign in 2015 and the lifting of sanctions in 2016, the money that came to Iran, the incentives that the Western societies offered, it was spent on military development. So the Iranian state has different priorities when it comes to development. They prefer to put the money on military development rather than on tackling unemployment, inflation and things like that. So that's been a challenge. And I think a challenge exists at the moment as well. Now, the deal, the MOU that was signed between Trump and the Islamic Republic, they offered billions of dollars, even hundreds of billions of dollars. But it seems that some elements, some hard line elements within the Islamic Republic, they didn't want that. Tracy.

I think from the perspective of the West, most people, if they're being honest, cannot believe that some people aren't just... motivated by money like they hear like people say oh we believe in some higher power or some vision but I think like deep down we all believe that everyone has a price and that everyone actually just wants like no they're really they're saying this but what they really want is wealth and so I do think like there is this disconnect when we encounter when we have relationships with people who actually may believe in something that is not just accumulating wealth and comfort. Some people in the West. I think most people in the West. Well, okay. But on this note, what is Iran's political economy? You know, the story we just heard about chaos and competing factions and all of that suggests for the future of the Iran-U.S. conflict. I mean, we see this right now, right? There's multiple factions inside Iran. There's kind of this hard line faction that is really harshly attacking the presidents and the foreign minister for even having the temerity to sort of negotiate this memorandum of understanding. There are people who kind of still want inside Iran for

this war to continue because they really believe that Iran kind of had the U.S. on the back on the back foot. And so I think in terms of like how Iran's political economy looks going forward, I think it's still quite early to say at this point, just because they're still sort of in the midst of this war, really. And I think no one in Iran right now is looking that far ahead. To the extent that they are, it's very much towards China as the future. Mohammad Barghar Ghalibov, the Speaker of Parliament, the guy who's been kind of negotiating with JD Vance, he basically said that as well. He said that we want investment, but they want it from China. Yeah, I agree. I think one thing that I want to add is that, again, the different nature of these states. Like Trump is fighting at best for his legacy, but the Islamic Republic is fighting for its survival. I think that creates different pain tolerance and pain thresholds among these two nations. For the US administration, the main problem is now if the Fed would increase the interest rate by 0.25% and the impacts of that on mortgage rates and other things. And of course, people are unhappy with the rise of gasoline prices by a dollar or so. But when you look at the Islamic Republic, you see that the inflation is almost three figures. And they're not that much affected by that. The unemployment rate is very high.

I think when you compare the casualties for the US administration, the death of 18 soldiers is a lot. It's significant. Why for the Islamic Republic, the death of hundreds or thousands of soldiers is something that can easily absorb. So I think that is the nature of the conflict at this stage. And I think the reason that the Islamic Republic has survived the war so far is that its pain threshold is much higher. And I think if it continues like that, I think the US administration, I don't think they will continue the war because of the long term impacts it will have on the economy. Of course, Trump is trying to keep the price of oil under 100 per barrel. Anytime that it touches 100, there is some talks for negotiations and some positive...

Through social posts, but I think they can manage to do that for a bit But I don't think it can continue for a long time I think the pattern that we saw kind of throughout reporting this book and that we really see now is that For the Islamic Republic the economy has never been an end goal in and of itself. It's focused on it to the extent that it's a means to a broader end goal of self-sufficiency or of drawing some sort of ideological strength from it.

But in terms of actually focusing on the economy at the expense of, for instance, some of its ideological goals, that has never been in its pattern of behavior. And there are former officials like, don't take it from us. There are former officials who have said, you know, it's time to set aside our ideology and our foreign policy and focus on the economy, which would mean bringing in foreign investment, which would mean coming to some final accord with the US that would really lift sanctions that we can actually move on and grow the economy. And whoever's been in power at any point, Mostly Ali Khamenei for 37 years, but before that Khomeini, of course, has not taken that bet. For them, the important thing has always been Iran's ideology. And I think unless there's some drastic change, I don't necessarily expect that to change. I would need to see a lot more evidence of that actually shifting before I would kind of change my assessment on that. All right. Yeganeh and Bodhisattva, thank you both so much for coming on the podcast. Absolutely fascinating discussion.

Yeah, really appreciate you taking your time. Thank you. I really enjoyed it. Thank you both so much. Tracy, I really enjoyed that conversation. I learned a lot. I really did mean what I said in the conversation, which is that I do think a lot of American or Western negotiators and thinkers just sort of like constitutionally find it hard to believe that people in much of the world actually believe in things and aren't just like going to be transactional at the end of the day. That's why my first question was about how much of the Iranian revolution was driven by economic interest versus actual ideology. But yeah, I totally take the point. I also thought it was interesting, you know, when we think about...

emerging markets. There's plenty of investment that goes into emerging markets, right? But it feels like the stability point definitely stands out. You know, you can invest in an authoritarian regime. Totally. If you know that you're bribing the right person and you're not going to have all your assets seized in like two weeks or something by a competing faction. But when it comes to Iran, it does seem that factional element, that chaos, as they described it has been an issue. Yeah, I thought the point about this sort of like, you know, in China, there's the Chinese government and then there's the party, right? And they're not the same thing, but they're closely linked. But the idea that like, okay, what if you have like a more multiplayer

element where it's like, okay, you have some entities that are like truly like This is the state and there are state interests. And then you have IRGC interests and then you have religious interests, et cetera. And then you really do get this sort of like potential misalignment. I love the analogy of like the sort of like petitioning the various Greek gods as like a way to think about a sort of like problem of establishing that stability. It's almost like, okay, like a gangster state might not be the worst thing in the world if there were just one gang, right?

If there's just one... Producers clip that. No, yeah, like if there's just one gang. Think about like a mafia story, right? Part of the pro... It's like, okay, I'm gonna pay this mafia. I don't really need the protection for my store. This guy comes and said, I'll protect your store from damages for somebody. insane amount of this thing I don't need it but whatever I'm gonna pay it you know but then the moment there's three gangs and each of them wants that cut then it becomes like a seriously no and also they get mad at you for paying one of them. I prayed at the Temple of Zeus, and because I sacrificed to go to Zeus, Poseidon is now upset at me, and now I have to appease Poseidon. And then I'm going to appease Poseidon, and then, I don't know, Aphrodite or whoever is going to get mad, and it just goes on and on. Right. If your only issue was the sacrifice that Zeus demanded, you might not like it, but you could form a business with those expectations. And that would probably be, you'd find a way to survive. But then you have this multi-level thing, and you can't form that expectation. Did I ever tell you about in Tokyo?

A friend of mine had a bar, tiny bar, 10 seats at the bar. And he got extorted by the Yakuza. Really? Yeah. And so what happened is there were only 10 seats at the bar. He noticed, first of all, he got a request for money, for protection money from the Yakuza. And he said, no, I'm not going to pay it. I'm a foreigner. I don't have to, blah, blah, blah. Next night, a single Japanese man comes into the bar, orders one beer, sits at the bar all night taking up that seat. Not a big deal. Plenty of other people around. Next night, two people come in, two Japanese salarymen sit there, order one beer, don't leave the entire night. You can see where this is going. Yeah, wow. Within 10 days, all of his seats were being taken up by single customers

ordering single beers. Wow. And it didn't happen anymore after that. So, you know...

Infer how the problem was avoided going forward. Exactly, exactly. That's a good story. Anyway, I'm really glad we did that episode. I learned quite a bit. Absolutely. Alright, shall we leave it there? Let's leave it there. This has been another episode of the OddLots podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesenthal, you can follow me at the stalwart. Follow our producers, Carmen Rodriguez at Carmen Arman-Obenet at DashBot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, go to Bloomberg.com slash OddLots, where we have a daily newsletter and all of our episodes. And you can chat about all of these topics 24-7 in our Discord, discord.gg slash OddLots.

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